

FEDERAL MARITIME COMMISSION

RAHAL INTERNATIONAL INC., *Complainant*

v.

HAPAG-LLOYD AG, HAPAG-LLOYD (AMERICA), LLC, AND
HAPAG-LLOYD USA, LLC, *Respondents*

AND

HAPAG-LLOYD AG AND HAPAG-LLOYD (AMERICA), LLC,
Third-Party Complainants

v.

MAHER TERMINALS, LLC, GCT NEW YORK LP, AND GCT
BAYONNE LP, *Third-Party Respondents*.

DOCKET NO. 23-05

Served: March 15, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

INITIAL DECISION APPROVING SETTLEMENT AGREEMENT¹

On February 26, 2024, Complainant Rahal International Inc. (“Rahal”), Respondents and Third-Party Complainants Hapag-Lloyd AG and Hapag-Lloyd (America), LLC (collectively, “Hapag-Lloyd”), filed a joint motion seeking approval of a confidential settlement agreement and dismissal with prejudice of the complaint between them (“Motion”). The Motion also seeks dismissal without prejudice of Hapag-Lloyd’s Third-Party Complaint against Maher Terminals, LLC (“Maher”), GCT New York LP, and GCT Bayonne LP (collectively “GCT”).² A copy of the

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² As noted in earlier filings and orders, GCT converted to limited liability companies and changed their names on August 31, 2023. Memorandum of Law in Support of Third-Party Respondents’ Motion to Dismiss at n.1; Order on Third-Party Respondents’ Motion to Dismiss at n.2.

confidential settlement agreement and a public version of the settlement agreement were also filed. The motion would resolve the entire proceeding before the Commission.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where "time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.75(b); *see* 5. U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). "Unless the order states otherwise, a dismissal under this paragraph is without prejudice." 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A AM. JUR. 2D *Compromise and Settlement* § 3 (1976)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal*, 18 S.R.R. at 1092. However, if "a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Old Ben Coal*, 18 S.R.R. at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

Rahal and Hapag-Lloyd, “sophisticated corporate entities,” state that they “engaged in arm’s length negotiations and support the Motion and the relief that it seeks.” Motion at 4. They further state:

The Settlement Agreement does not undermine any law or public policy and is free of fraud, duress, undue influence, mistake, or other defects. Further, the Settlement Agreement is a fair and reasonable resolution of this dispute between Rahal and Hapag and reflects their mutual desire to resolve their issues without the need for costly litigation and the Commission’s resources.

Id. at 4-5.

The Motion also seeks, and the terms of the agreement include, a dismissal without prejudice of the Third-Party Complaint against Maher and GCT. Third-Party Respondents Maher and GCT did not join in the Motion or sign the Confidential Settlement Agreement but were served with the Motion³ when the documents were filed by electronic mail on February 26, 2024. None of the Third-Party Respondents filed an opposition to the Motion or objected to the Confidential Settlement Agreement. The Third-party Respondents have filed answers to the Third-Party Complaint but did not participate in the Confidential Settlement Agreement. The dismissal without prejudice of the Third-Party Complaint is appropriate under Commission Rule § 502.72(a)(3) and (c).

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (citations omitted); *Marine Dynamics v. RTM Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *Int’l Assoc. of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991).

The confidential settlement agreement has been reviewed by the undersigned and the request for confidentiality in the settlement agreement is reasonable. The undersigned notes that the agreement is only binding on the parties to it, and nothing in the confidentiality provision should be construed as binding on the Commission. Accordingly, this confidential settlement agreement will be treated by the Commission in the same manner as other confidential settlement agreements, and the Commission will have the opportunity to review the settlement agreement.

³ A “public version” of the settlement agreement was included, but Rahal and Hapag-Lloyd redacted the agreement in its entirety.

Given the parties' request for confidentiality, confidential information included in the settlement agreement, and the Commission's history of permitting agreements settling private complaints to remain confidential, the parties' request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary's confidential files.

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The proceeding would require all parties to brief the matter, review of the parties' briefing, and an initial decision would be subject to exceptions or appeals. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the motion to approve the settlement agreement between Complainant Rahal and Respondents Hapag-Lloyd be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. The settlement agreement should be maintained in the Secretary's confidential files. It is

FURTHER ORDERED that the Complaint filed by Rahal be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the Third-Party Complaint filed by Hapag-Lloyd be **DIMISSED WITHOUT PREJUDICE**.



Linda S. Harris Crovella
Administrative Law Judge